

BPM LIFE CYCLE & BPM SUITES

Lecture 02

BUSINESS PROCESS MANAGEMENT
IS 2206

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OUTLINE

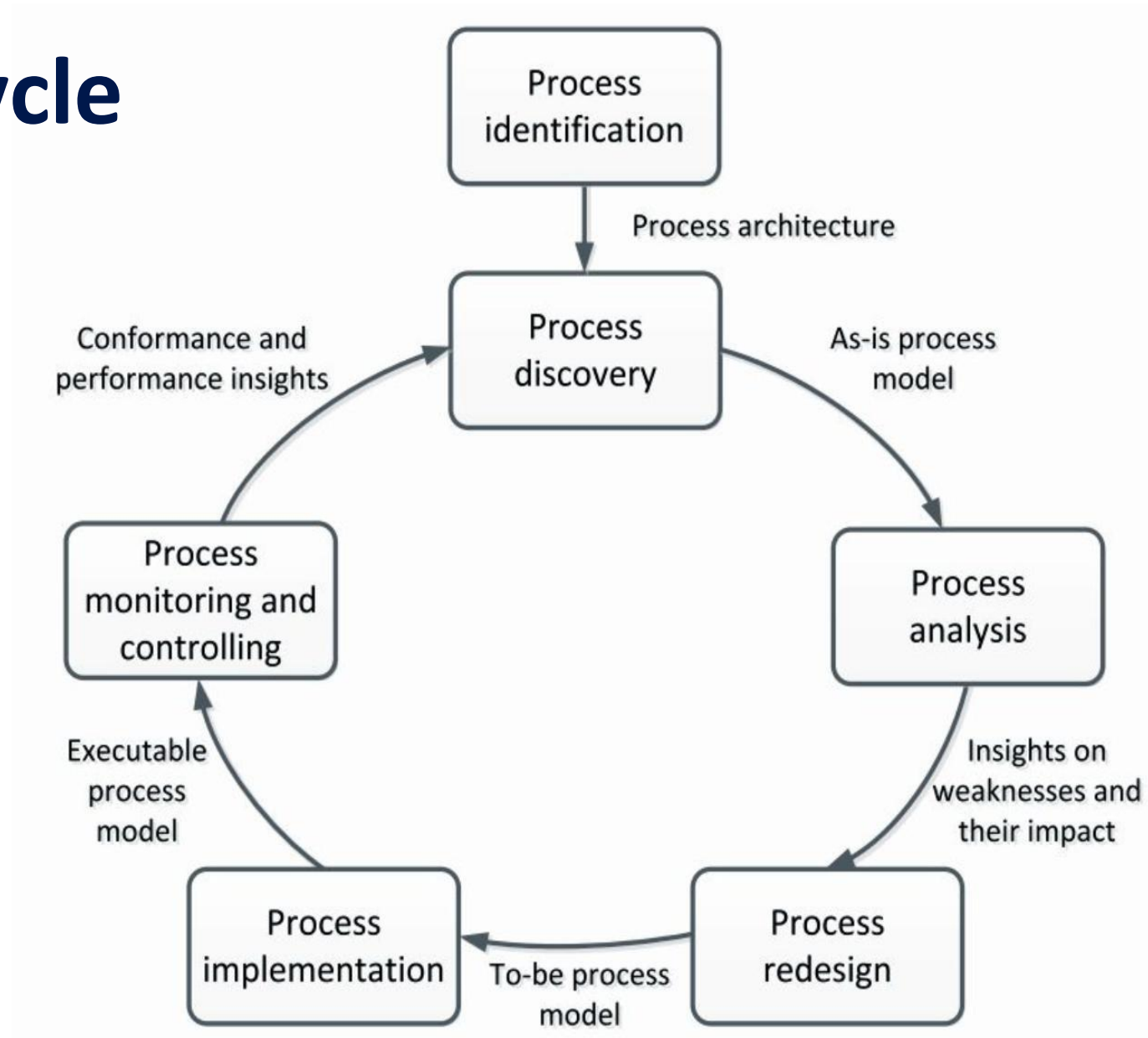
1. Stages in BPM life cycle
2. As-is and To-be process models
3. BPM suites

TOPIC 01

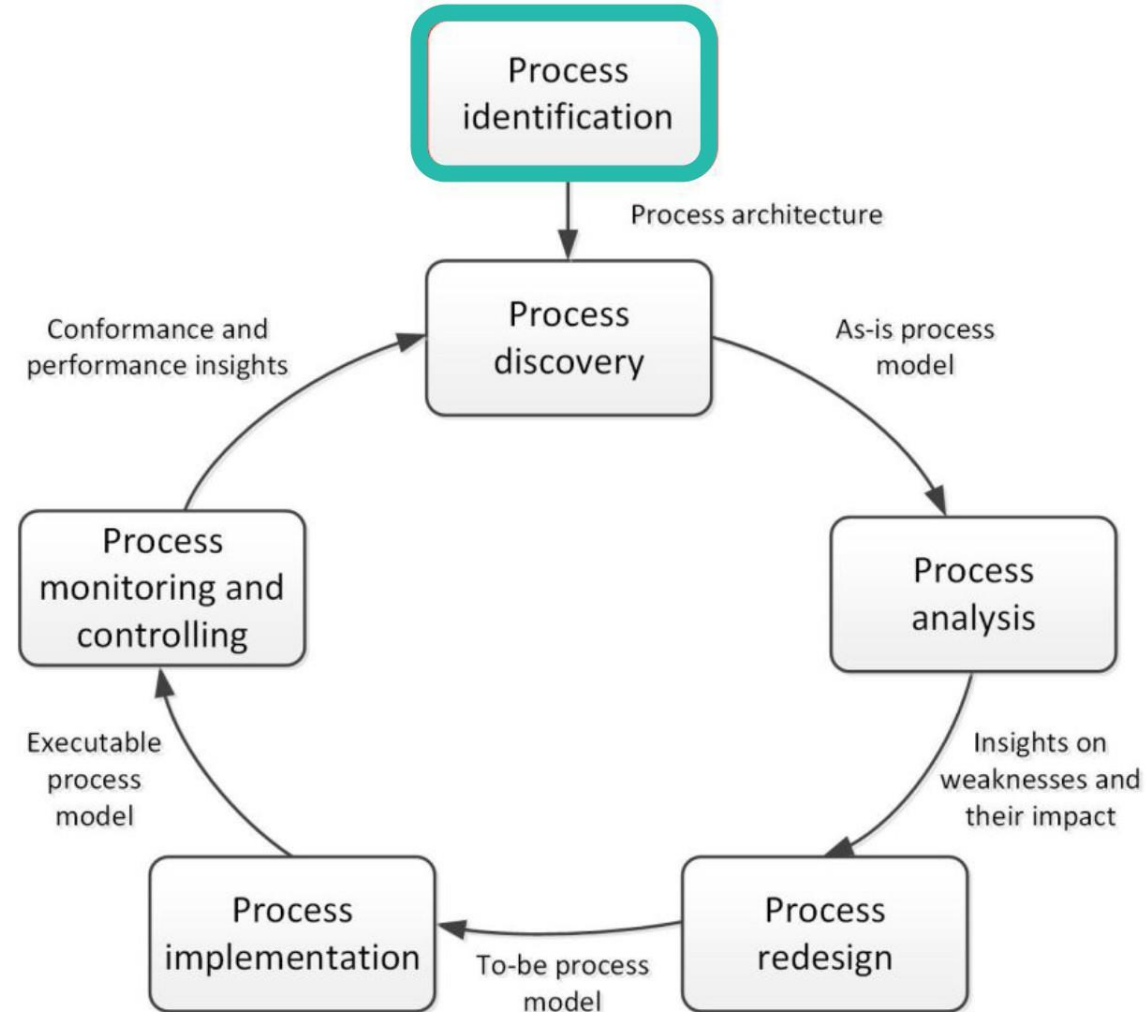
Stages in BPM life cycle



BPM Life Cycle



Where we are??



1.1 Phase 01: Process Identification

- **Understanding of the organization's strategies and goals** - These will serve as a guide in setting the objectives and strategies of BPM, since the two must be aligned.
- **Identification and enumeration of current processes / processes that has to be deal with** - identify all existing business processes
- Among them, Identify key business processes in the organization and prioritize them
- When Implementing BPM Initiative, Key business processes are put in highest priority
- Identify process measures that has to be used

1.1 Phase 01: Process Identification (Continued..)

Management processes involve monitoring primary and secondary processes to ensure that the organization is meeting overall financial and operational goals.

Management Processes

- Strategic Planning
- Budgeting
- Compliance and Risk Management
- Investors, Suppliers, Partners Management

Core business processes directly deliver values to the organization and its customers.

Core Processes

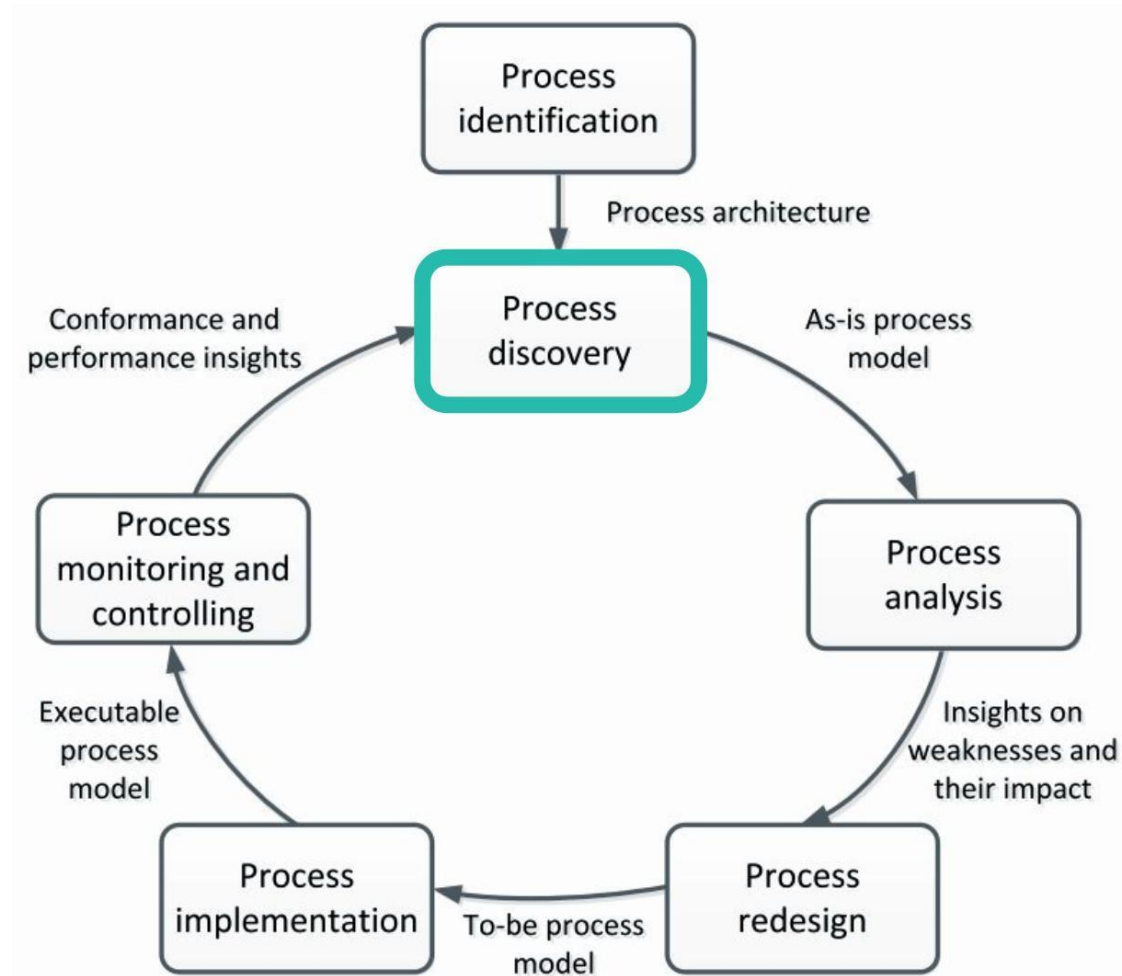
- Design and Development
- Manufacturing
- Marketing and Sales
- Delivery and After-Sales
- Direct Procurement

Support business processes provide value to the internal customers and do not generate income in themselves.

Support Processes

- Indirect Procurement
- Human Resource
- Information Technology
- Accounting, Financial and Legal

Where we are??



1.2 Phase 02: Process Discovery

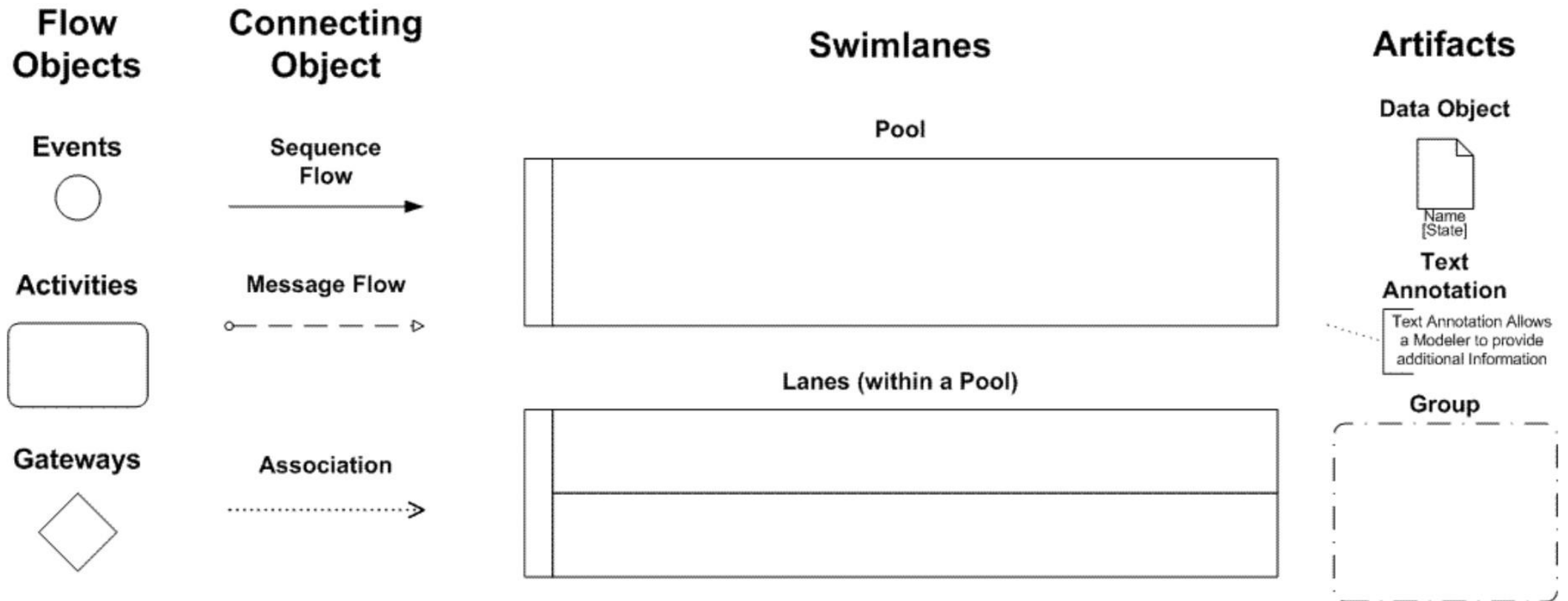
- The act of gathering information about an existing process and organizing it in terms of an as-is process model.
- Process discovery shows how to create models that are both correct and complete.
- Different discovery techniques are used to gather information about a process. Such as evidence-based discovery, interview-based discovery, and workshop-based discovery.
- Process Modelling
 - Business process modeling is the analytical representation or simply an illustration of an organization's business processes in order to better understand that process.
 - A business process model is often presented as a simple visual like flow charts, Gantt charts.

1.2 Phase 02: Process Discovery (Continued..)

- BP Modeling visually represents all of the connecting activities, events, and resources of the process of a product or service to make it more efficient.
- Advantages of process modelling
 - Facilitate to gain common understanding.
 - Align Operations with Business Strategy.
 - Improve Process Communication.
 - Increase Control and Consistency.
 - Improve Operational Efficiencies.
 - Gain Competitive Advantage.

Core set of BPMN Elements

- (Business Process Model and Notation)



BPMN Elements

1. Events –Circle Symbols

- Events indicate something that happens during a process.
- There are three main types:
 - **Start Event** → shown as a thin circle.
 - This indicates where the process begins.
 - **Example:** Customer places an order.
 - **Intermediate Event** → shown as a double circle.
 - This represents something happening during the process.
 - **Example:** Receiving a payment notification.
 - **End Event** → shown as a thick circle.
 - This indicates the process is completed.
 - **Example:** Order successfully delivered.



Start Event



Intermediate Event



End Event

BPMN Elements

2. Activities – *Rounded Rectangle*

- Activities represent work or tasks being performed.
- Examples:
 - Check customer details
 - Approve payment
 - Pack the product
- Each activity is a step in the business process.



BPMN Elements

3. Gateways – *Diamond Symbol*

- represents decision points in the process.
- For example:
 - ‘Is payment successful?’
 - If yes, the process continues.
 - If no, the order may be canceled.
- So gateways help control the flow based on conditions.

BPMN Elements

4. Sequence Flow – *Arrow*

- Sequence flows are arrows that connect elements.
- They show the order in which activities happen.
- For example:
 - Start → Receive Order → Check Payment → Deliver Product

**Connecting
Object**

**Sequence
Flow**



Message Flow



Association



BPMN Elements

5. Pools and Lanes

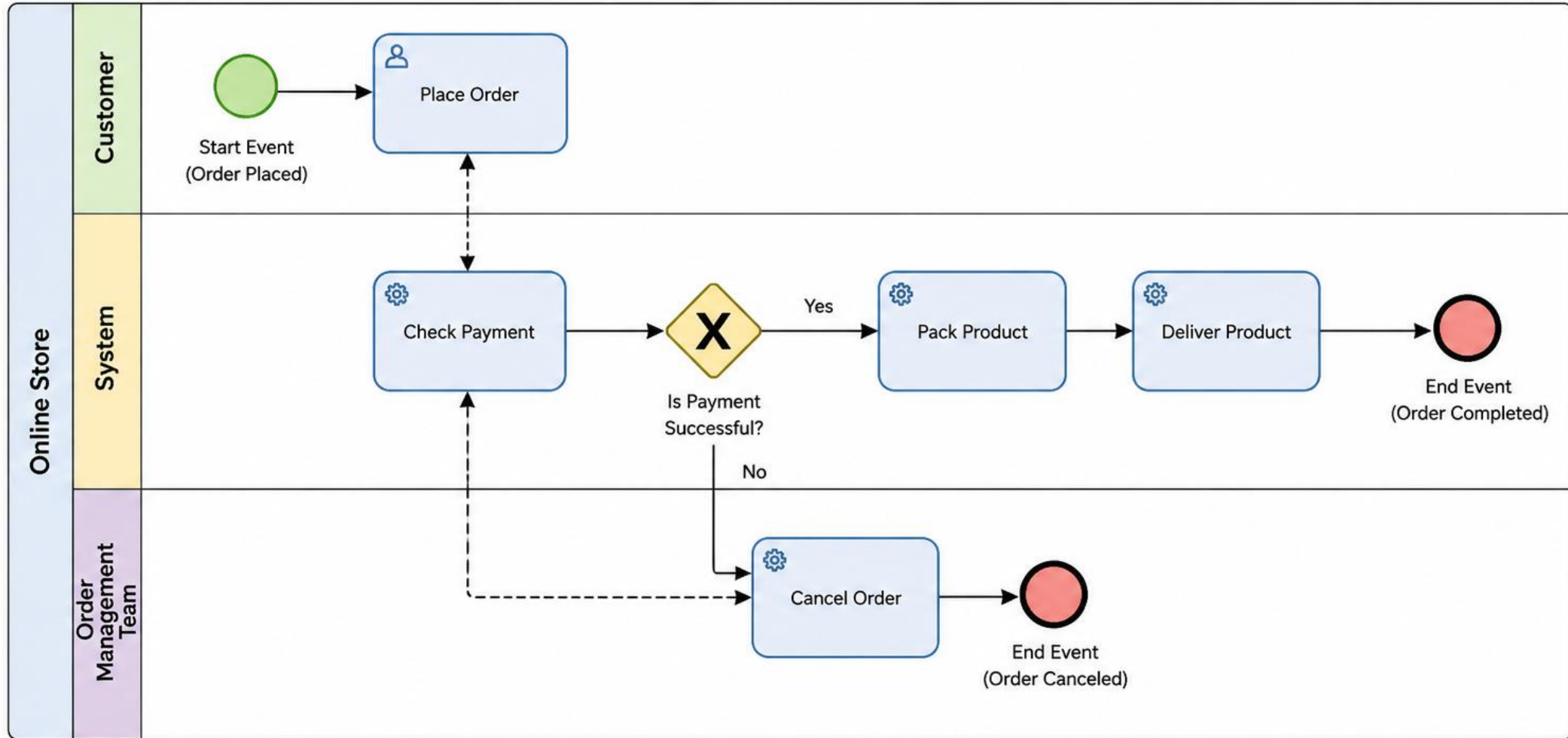
- Pools and lanes represent participants or departments involved in the process.
- For example:
 - One lane may represent the ***Sales Department***, another lane may represent the *Finance Department*.
- This clearly shows who is responsible for each task.

Activity

Online shopping process

- The process starts when a customer places an order.
- Then the system checks payment.
- At the gateway, a decision is made—whether payment is successful or not.
- If successful, the product is packed and delivered.
- If unsuccessful, the order is canceled.
- Finally, the process ends.

Online Order Processing – BPMN Example



Start Event
(Process starts)



Intermediate Event
(Something happens
during the process)



End Event
(Process ends)



Activity / Task
(Work performed)



Gateway
(Decision point)

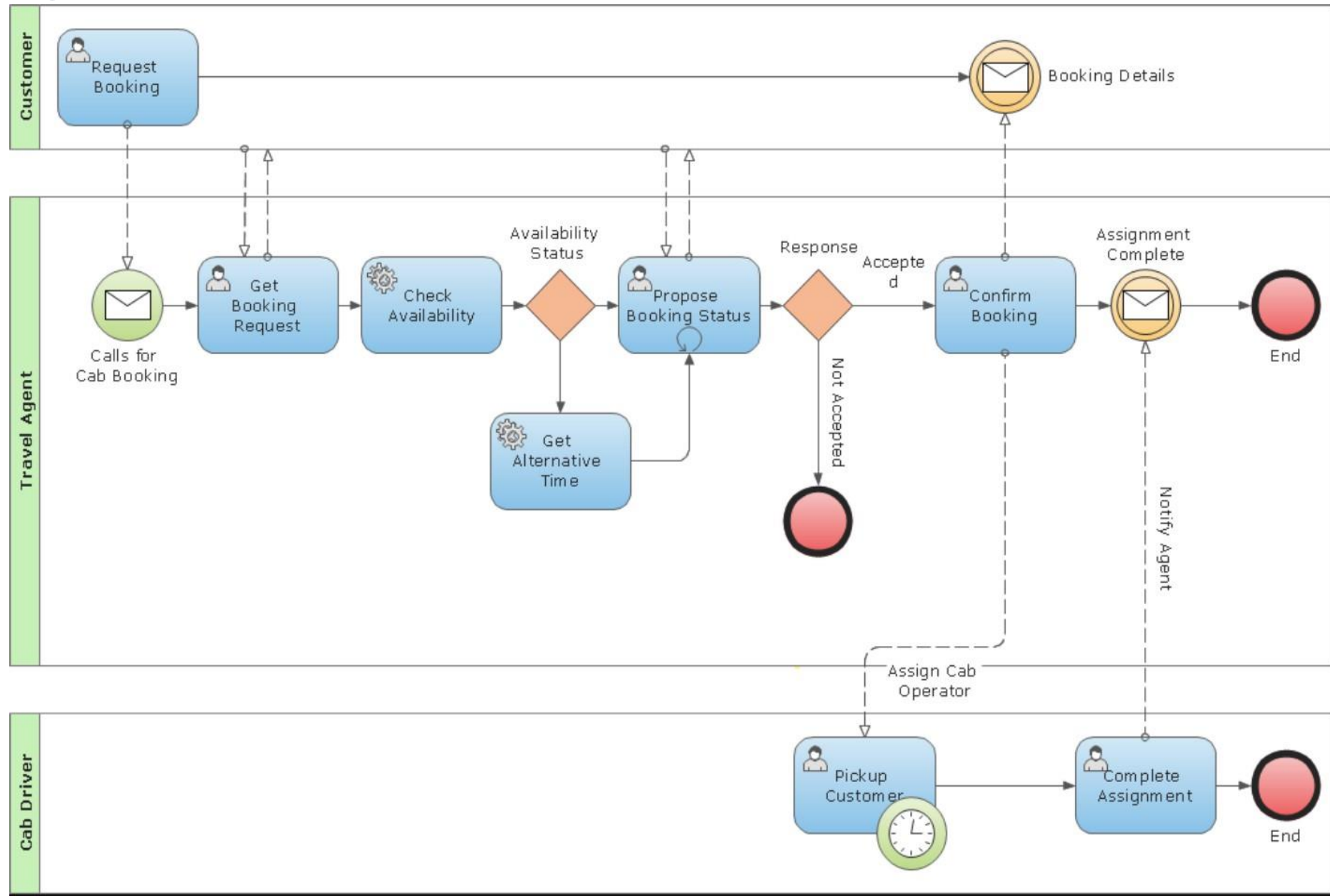


Sequence Flow
(Flow direction)

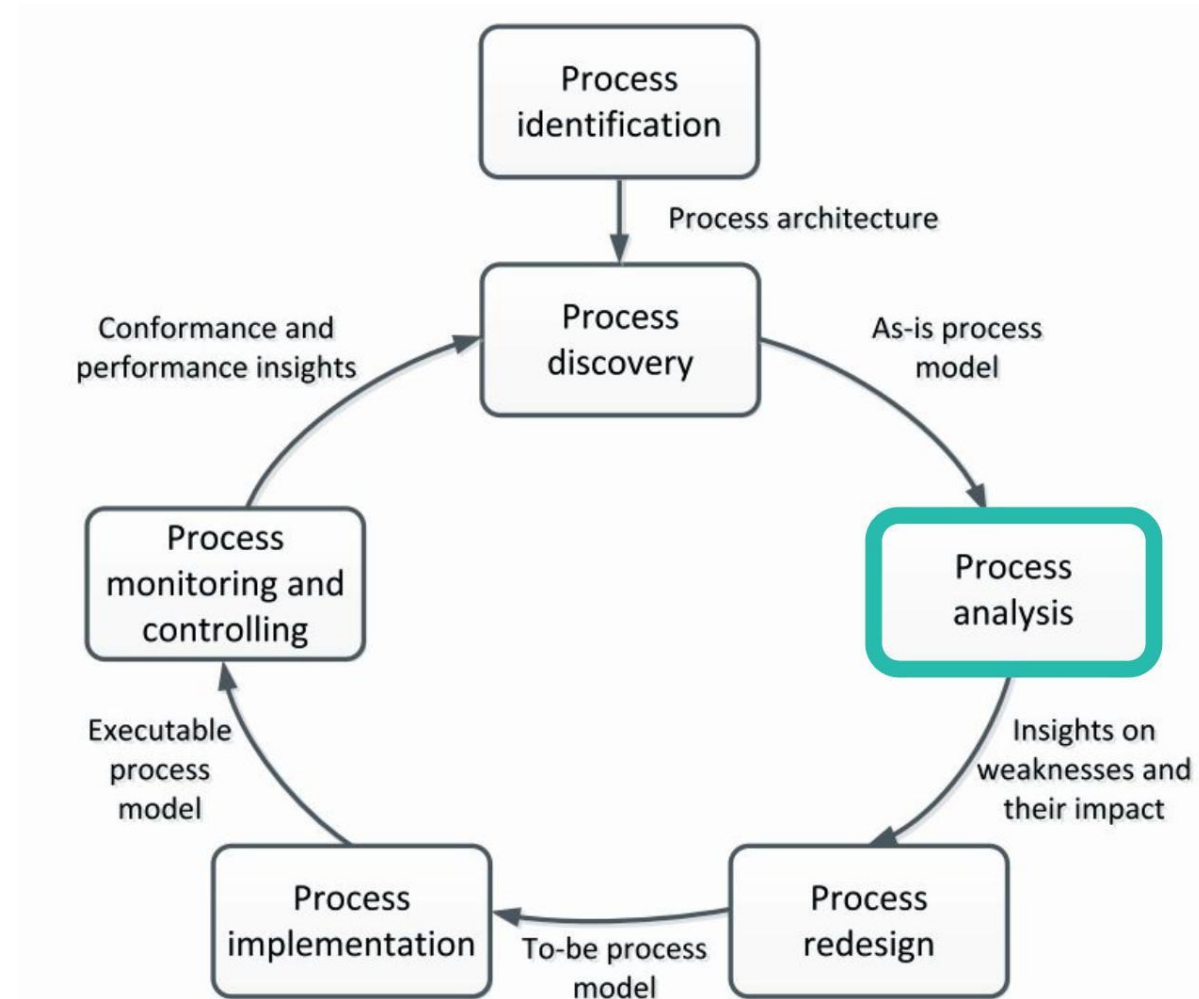


Message Flow
(Information flow)

Example



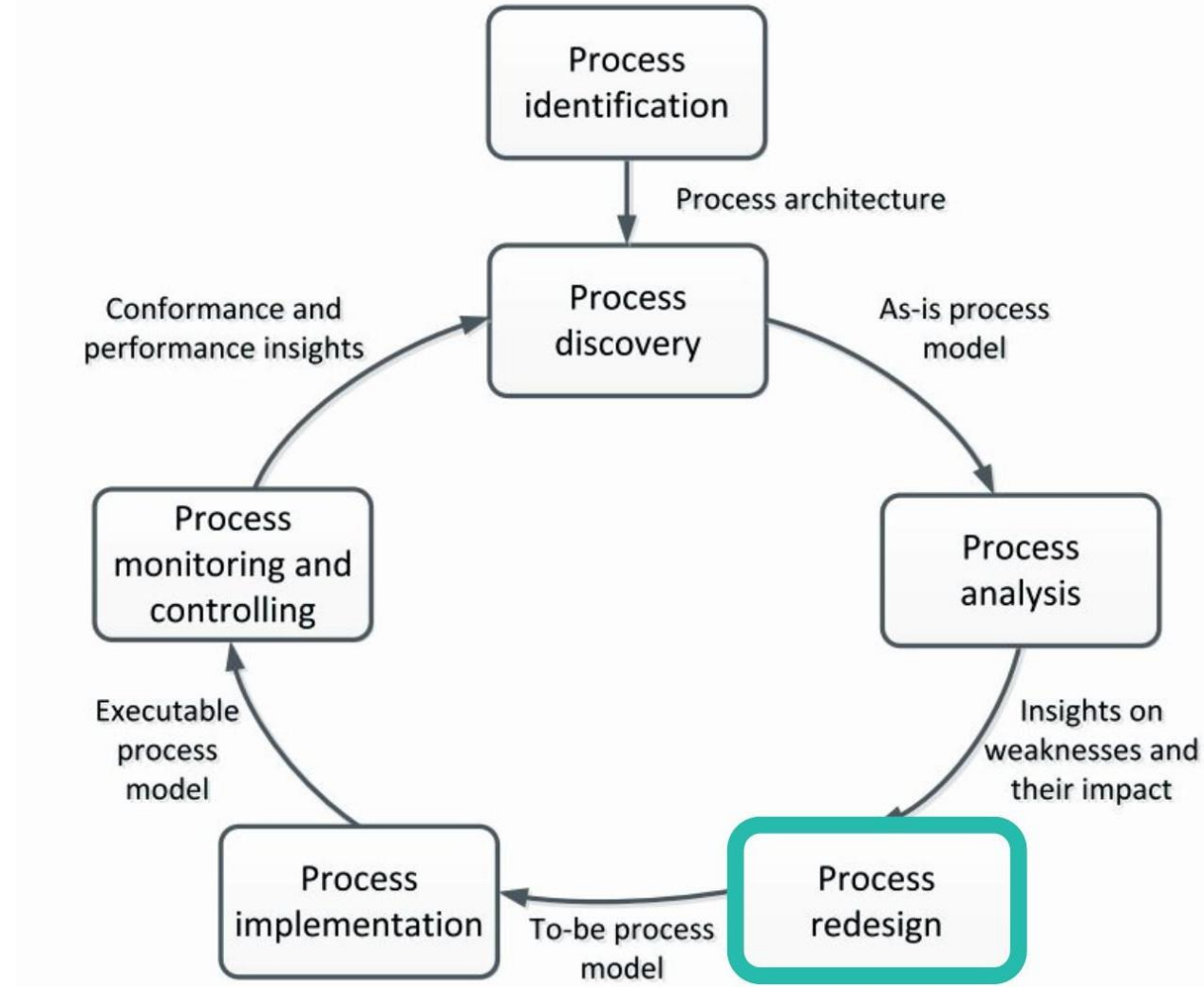
Where we are??



1.3 Phase 03: Process Analysis

- Process Analysis will provide insights on the strengths and weaknesses of the business processes, and to understand how they impact the overall performance of the organization.
- There are two types of analysis;
 - Qualitative Analysis
 - Quantitative Analysis.
- Qualitative analysis is performed to identify wastes, redundancies, or losses incurred in the processes and eliminate them.
- Quantitative analysis techniques are centered around numbers, figures and statistics , which focuses on numbers such as time, cost, and performance.

Where we are??

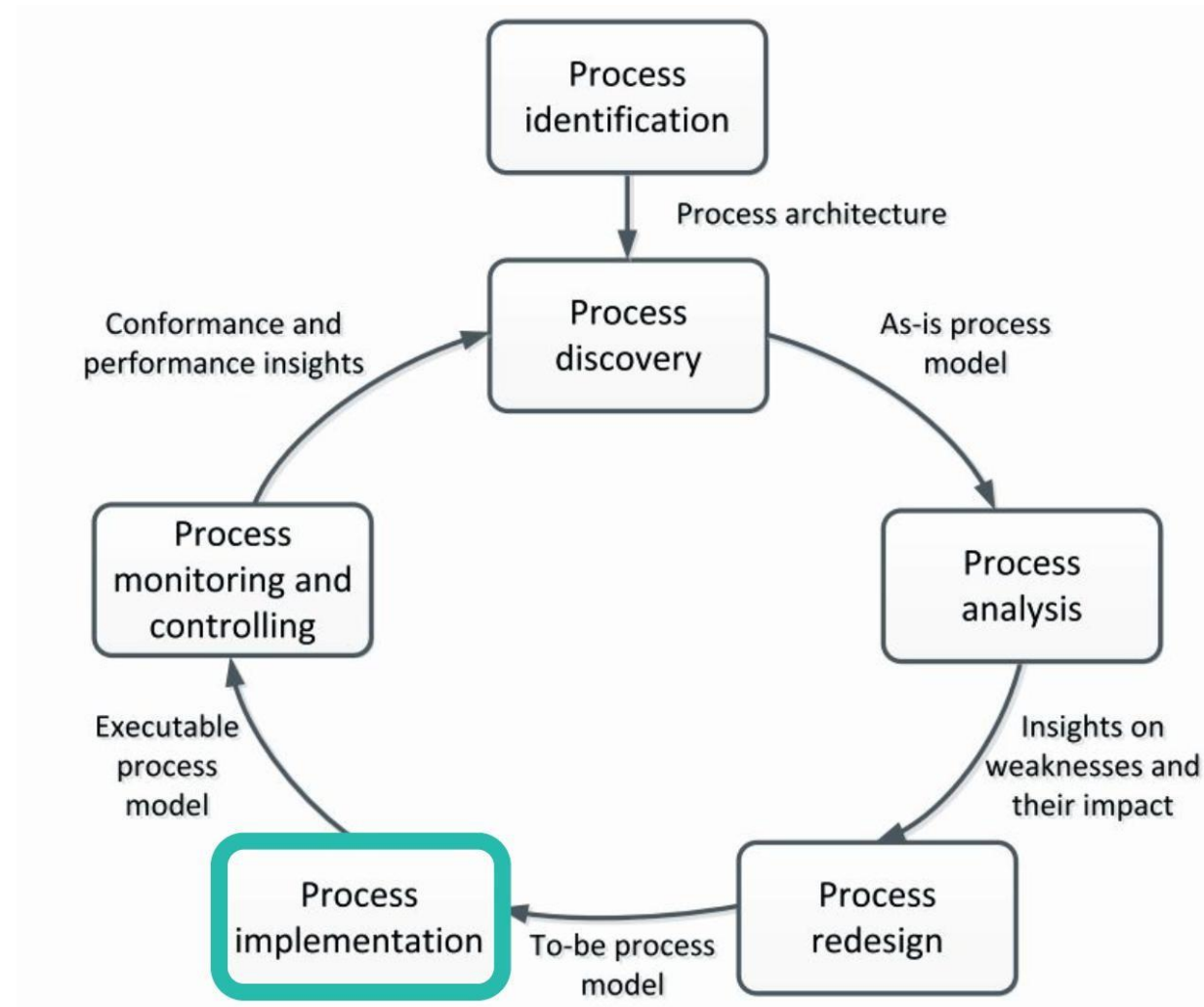


1.4 Phase 04: Process Re-design

There are two approaches,

- **Continuous Process Improvement:** This approach looks for these solutions incrementally, taking one issue at a time.
- **Business Process Re-engineering:** Re-engineering takes a look at the entire process structure and aims to rework it entirely, with the aim of streamlining it or making it more effective and efficient.

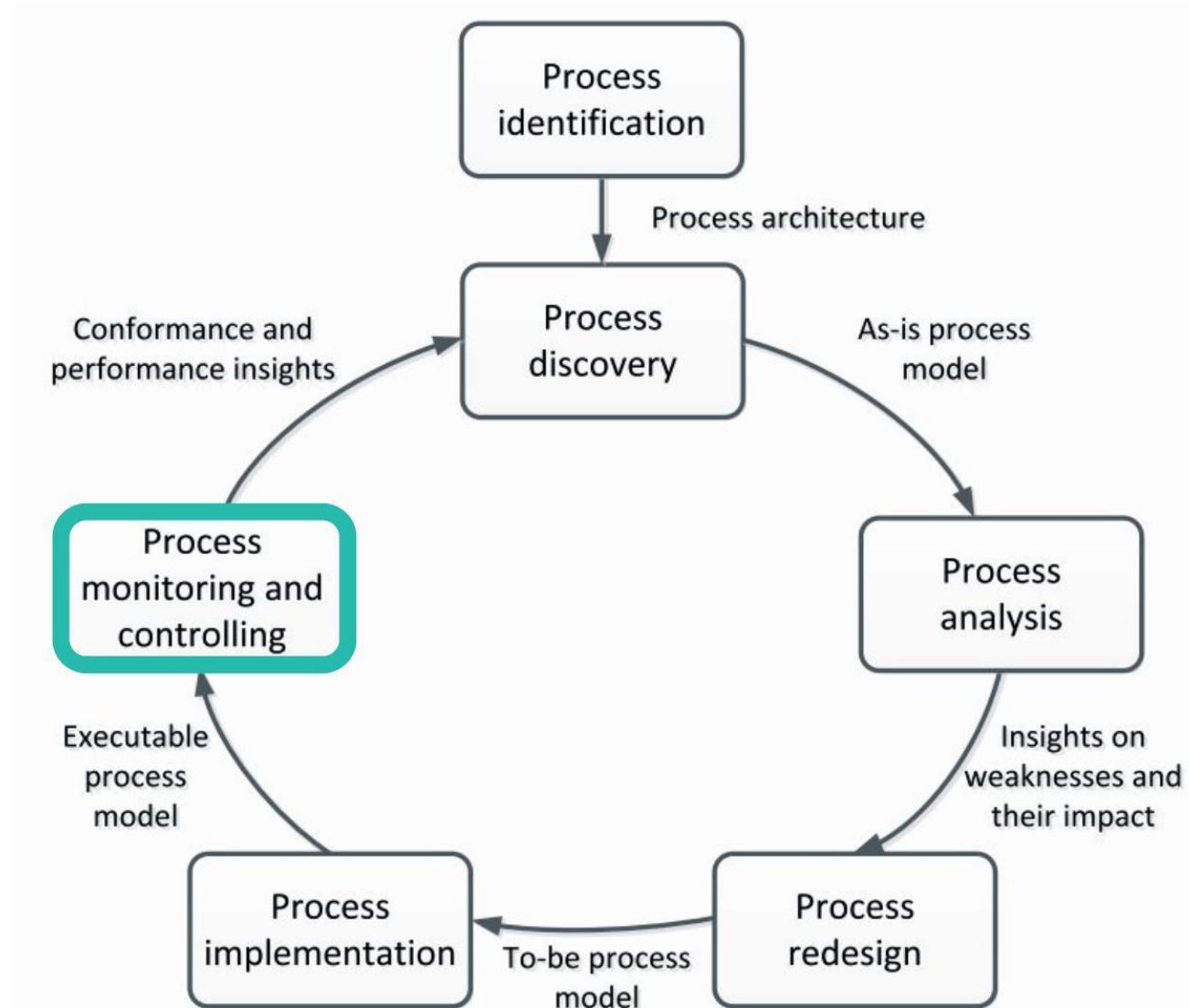
Where we are??



1.5 Phase 05: Process Implementation

- The redesigned process will be implemented.
- There are two ways to execute it: systemic and non-systemic implementation.
 - **Systemic** : use of specific software and technologies.
 - **Non-Systemic** : BPM tools are not used.
- The choice between the two types depends on the nature of the business process and resources available to the organization.

Where we are??



1.6 Phase 06: Process Monitoring and Controlling

- Tracking, measuring, and controlling on a continuous basis.
- Some common KPIs that are monitored include the duration of the process, cost of the process, capacity, and errors that adversely affect customer satisfaction.
- Information collected during process monitoring helps the organization determine whether the process requires improvements or changes.

“Every good process eventually becomes a bad process”

-Michael Hammer-

TOPIC 02

As-is and To-be process models



2.1 What are As-is and To-be Process Models

- As Is Process model will help to:
 - Current state of the business process.
 - Capture an accurate visual picture of your organization's processes.
 - Visualized process breakdowns and areas of risk.
- To Be Process model will help to:
 - Future state of the business process.
 - Model the impact of any future process changes before you make them.

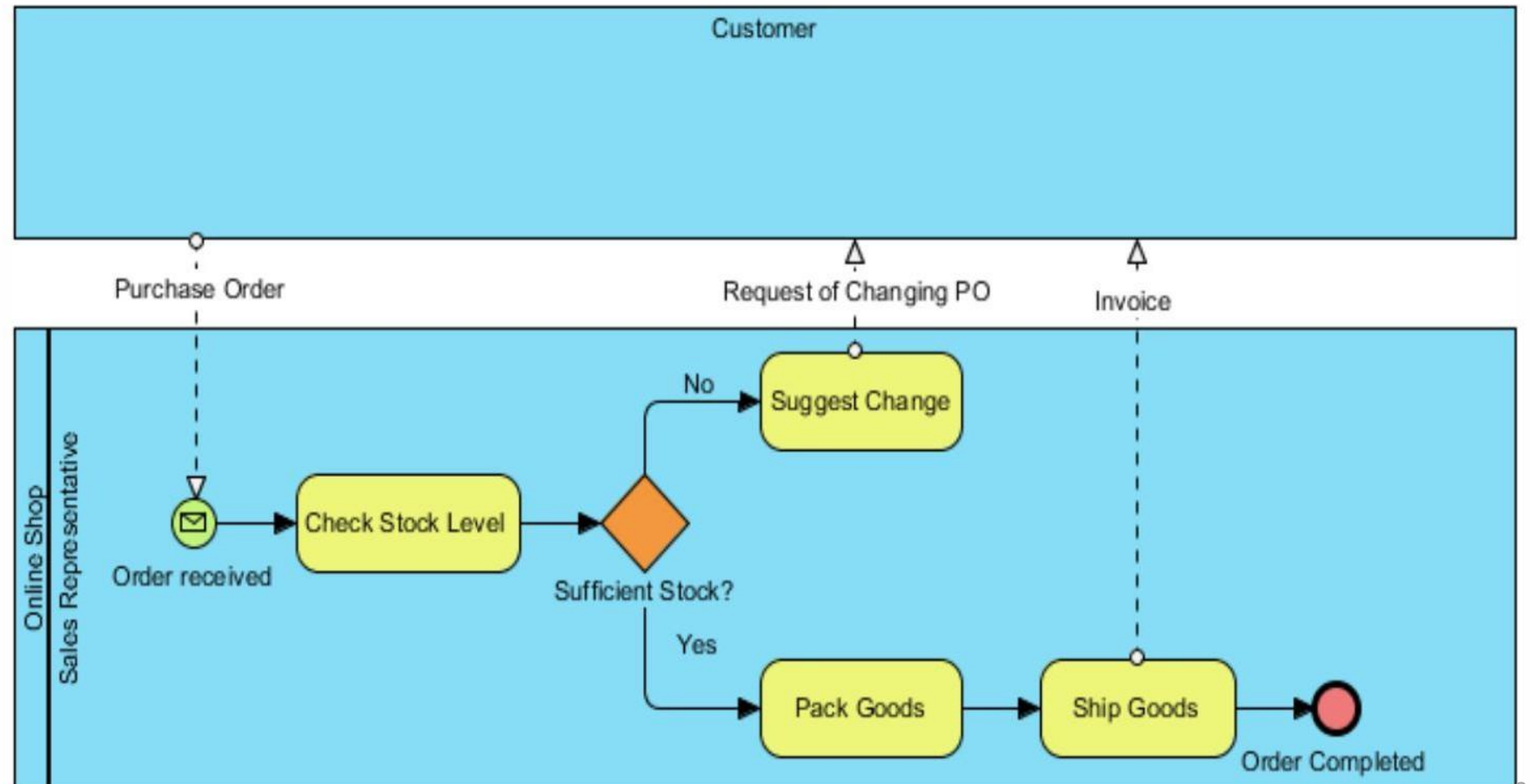
2.2 Why As-is and To-be Models

- Saving money
- Improving existing processes or creating new processes
- Increasing customer satisfaction
- Improving business coordination and organizational responsiveness
- Complying with new regulatory standards
- Adapting processes following a merger or acquisition.

Example 1

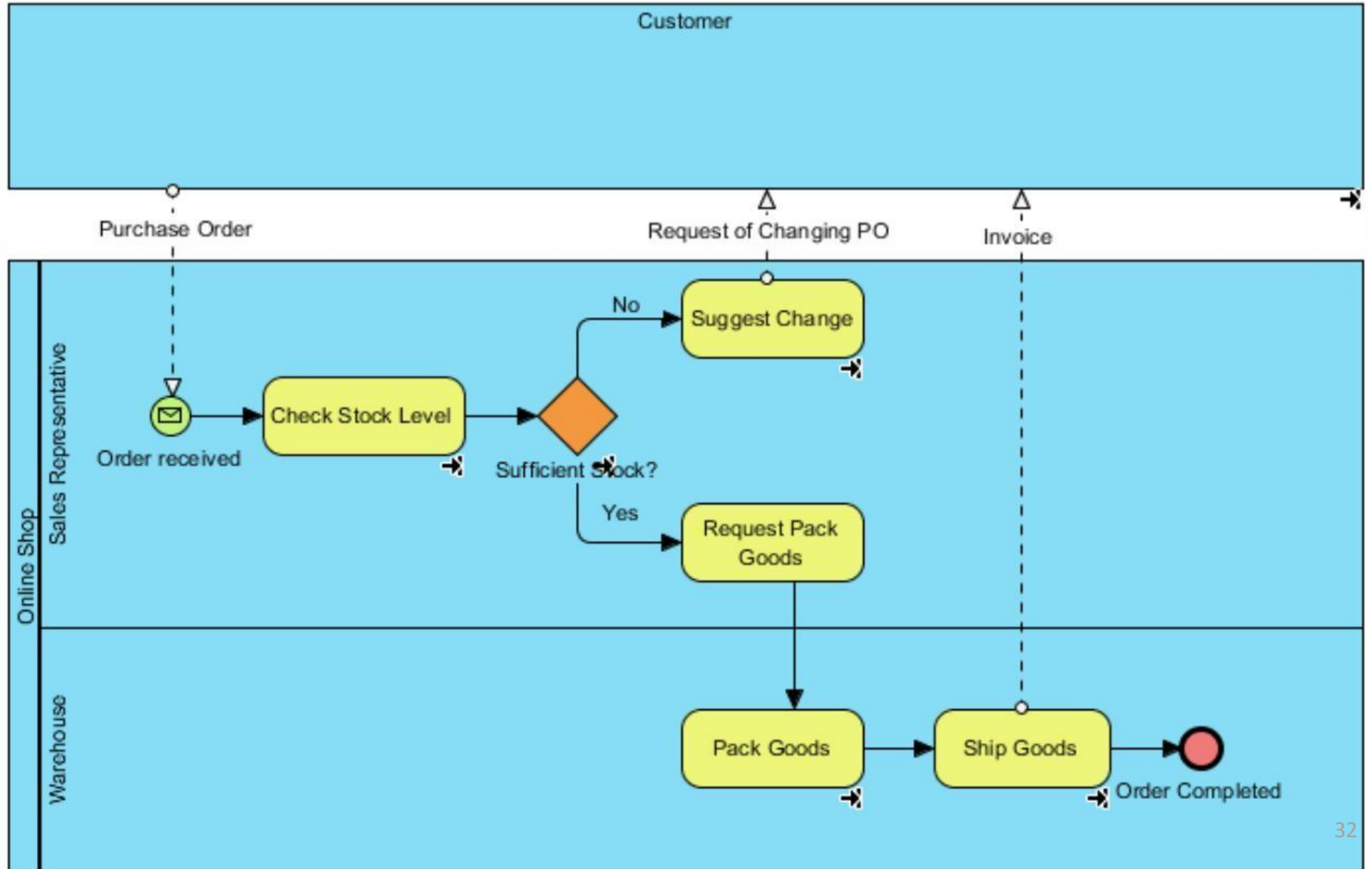
- As-is State

As-is state



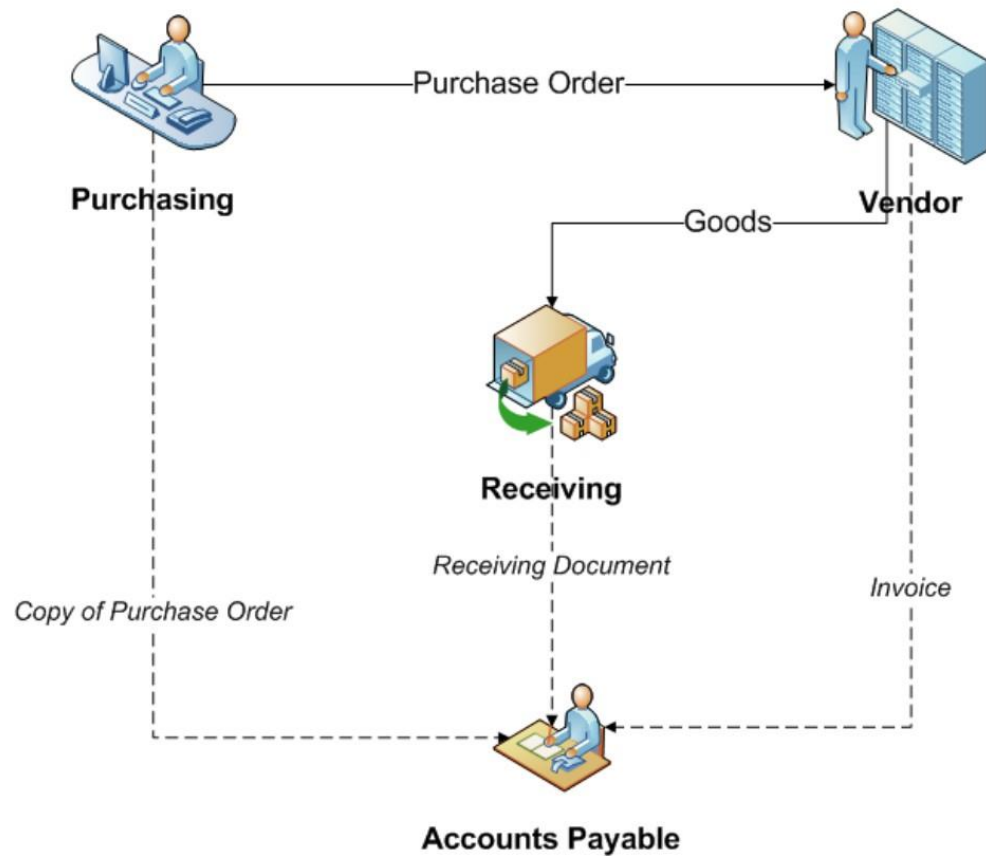
Example 1 (Continued..)

- To-be State

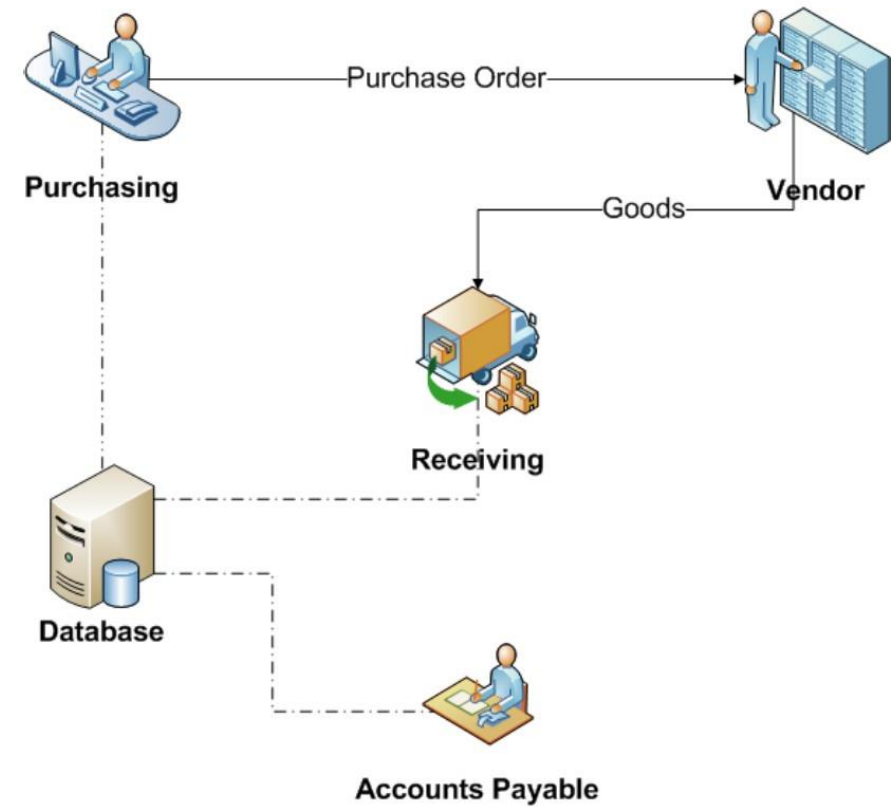


Example 2

As-is state



To-be state



TOPIC 03

BPM Suites



3.1 What are BPM Suites

- Business process management suites (BPMSs) are the leading application infrastructures to support BPM projects and programs.
- BPMS supports the entire process improvement life cycle — from process discovery, definition and design to implementation, monitoring and analysis, and through ongoing optimization.
- Its model-driven approach enables business and IT professionals to work together more collaboratively throughout the life cycle than is possible with other approaches to solution delivery.

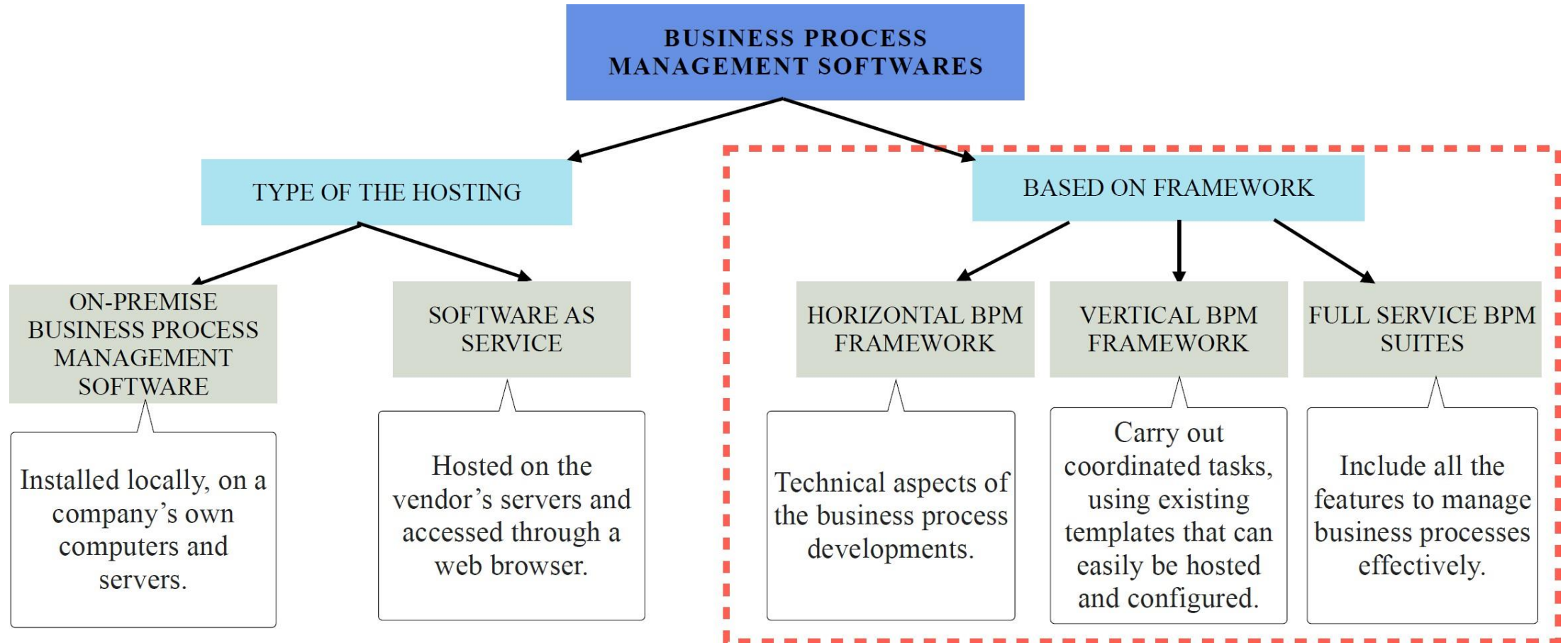
3.2 Benefits of BPMs

- Improved productivity
- Increased Efficiency and Reduced risks
- Employee Satisfaction
- Technology Integration
- Cost Efficiency
- Better Customer Relations
- Ease of Use

Activity

- Find currently available Business Process Management Suite (BPMS) tools and compare their key features, advantages, and disadvantages

3.1 What are BPM Suites (Continued..)



3.2 Business Process Management Software Features

API	Application Programming Interfaces (APIs) are programmatic intersections with external products or platforms that allow for custom integrations with your own solutions or other solutions you are using.
Batch Permissions & Access	Control user or group access and permission settings for software or other systems.
Customer Management	Manage customer databases and/or track outstanding shipments, payments and more.
Data Export	Exporting functionality can be used to streamline the migration of data sets and information across systems, platforms or applications.
Data Import	Importing functionality allows you to use data sets from other systems or platforms to cut down on data entry requirements or to more easily migrate records from similar applications you
External Integrations	Integrations with other software products or platforms to improve efficiency and compatibility across systems.
Form Builder	Form builders enable users to design forms so they can capture and edit data.
Mobile App	Give users access to the application via mobile phones, tablets and other smart devices besides desktop computers.

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Multi-User	Supports more than just one user account and generally allows for collaboration with colleagues.
Notifications	Includes notification support and sends you alerts with information on important events and other time sensitive instances.
Password & Access Management	Manage passwords or access to systems for yourself or your organisation.
Process Modeling	Process modeling enables users to create and edit business workflows.
Process Reporting	Process reporting enables users to generate reports and graphs based on KPIs to identify inefficient processes, bottlenecks, and unproductive employees.
Project Management	Manage projects from conception through the planning stage to delivery and post-project reporting phases. This allows organisation teams to organise resources, plan budgets and improve efficiency in the delivery of project objectives.
Workflow Management	Workflow management focuses on streamlining the coordination of tasks related to the work a business does.



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LESSON 02

Recap...

Thank You!